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I was invited by the Chief Minister of Goa to speak at the D.D. Kosambi Ideas Festival in Goa on 20 February 2015. Since this was an 'Ideas' festival in honour of the great polymath, I reached into my research interests and a broader analysis of political economy to, once again, make the case for financial inclusion.

Democracy, Inclusion, and Prosperity

Thank you for inviting me to this Festival of Ideas. Since this festival is about ideas, I am not going to tax you with the Reserve Bank's views on monetary policy, which are, by now, well known. Instead, I want to talk about something I have been studying for many years, the development of a liberal market democracy. In doing this, I will wear my hat as a professor in the field known as political economy, and discard my RBI hat for the time being. If you came here expecting more insights on the path of interest rates, as I expect many of you did, let me apologize for disappointing you.

My starting point is the truism that people want to live in a safe prosperous country where they enjoy freedom of thought and action, and where they can exercise their democratic rights to choose their government. But how do countries ensure political freedom and economic prosperity? Why do the two seem to go together? And what more, if anything, does India have to do to ensure it has these necessary underpinnings for prosperity and continued political freedom? These are enormously important questions, but given their nature, they will not be settled in one speech. Think of my talk today, therefore, as a contribution to the debate.

FUKUYAMA'S THREE PILLARS OF A LIBERAL DEMOCRATIC STATE